VA UNDERWRITING GUIDELINES

- VA Pamphlet 26-7 – Lenders Handbook
- VA Loan Guaranty Circulars
- VA Loan Limits

OVERLAYS

4506-C

- A fully executed IRS Form 4506-C must be included in all loan files.
- 1040 transcripts are required for the following income types:
    - Self-employed
    - Rental income documented on Schedule E
    - Employed by family
    - When tax returns are utilized to determine qualifying income, in lieu of alternative documentation options when applicable.

ASSETS

SWEAT EQUITY

Not allowed

CLOSING

CLOSING IN TRUST

- For loans closing in a trust, a *Certificate of Trust,* Doc. #3954 or similar form is required. For properties located in California, the *California Trust Certificate,* Doc. #3951 or similar form may be used.

CREDIT SCORES

MINIMUM CREDIT SCORES

Loan Purpose	Purchase [3]		Cash-Out Refinance [1] Cash-Out Refinance [2]		IRRRL[3]	
Units	**1-2 Units**	**3-4 Units**	**1-2 Units**	**3-4 Units**	**1-2 Units**	**3-4 Units**
Minimum Credit Score	580	580	580	580	580	580

1. **VA Cash-out refinance in which borrower does not receive cash back and only paying off mortgage debt.**
2. **Borrower receives cash back and/or consolidates non-mortgage debt.**

DOWN PAYMENT

- All community second and grant programs must be Flagstar-eligible - Refer to *Gift/Grant Programs,* Doc. #5935 or *Community Seconds Programs,* Doc. #5932.
- Due to GNMA's prohibition, the down payment may not be derived from a second mortgage on the property.

ENERGY EFFICIENT MORTGAGES

Ineligible

ESCROW HOLDBACKS

- Closing documents must be prepared through Flagstar's Web-Based Closing Documents (WBCD) and all repair escrows for Flagstar-underwritten loans are held by Flagstar
- Two bids required
  - Holdback will be 1 ½ times the highest bid. Bids may not exceed $6,666 for a maximum escrow holdback of $10,000

FUNDING FEE

Due to system constraints, the funding fee must be fully financed or fully paid at closing

JOINT LOANS

- Due to system constraints, the following joint loans are ineligible transactions:
  - All veterans are using entitlement and one is exempt from paying the funding fee but all others are required to pay a funding fee
  - Two or more unmarried veterans are borrowers on a loan but only one is using entitlement
  - Two or more veterans are using entitlement but one or more of the veterans' funding fee factors differs from the others (i.e. One veteran's funding fee factor is 2.15% and the other veteran's funding fee factor is 3.30%)
  - Borrowers are a veteran and non-veteran who is not the veteran's spouse and the veteran is subject to paying a funding fee
- All veterans must occupy the property

MANUFACTURED HOMES

- Property must be a double-wide (multi-width) manufactured home
- Property must be existing manufactured home on a permanent foundation and previously converted to real estate:
  - Purchase transaction will be eligible for subsequent purchase only
  - New construction manufactured home or manufactured home dealer purchases are ineligible
  - Refinance of interim construction financing of a manufactured home are ineligible
- Manufactured home may not be located in a Condominium, Cooperative or have leasehold interest.
- Manufactured homes that have been moved from their original site are ineligible.

MAXIMUM LOAN AMOUNTS

- Maximum loan amount not to exceed $4,000,000.
- Minimum 600 credit score required for loan amounts exceeding the conforming limit.
  - VA one Unit Conforming Loan Limit:
    - $647,200 for the 48 Contiguous States, District of Columbia
    - $970,800 for Alaska, Hawaii and US Virgin Islands
- VA loan amounts $3,000,000 and higher will require Underwriting Management review and signature.

MAXIMUM NUMBER OF FLAGSTAR BANK LOANS

Flagstar will not approve and close loans for borrowers having more than ten loans with Flagstar Bank or having an aggregate loan amount of $4,000,000. The maximum number of loans and aggregate loan amount calculations include all of the following:

- Non-closed loans with Flagstar Bank and
- Loans that are closed and currently serviced by Flagstar Bank and
- Loans that were closed with Flagstar Bank but the servicing rights have been sold to another lender within the most recent 24 months

NON-OCCUPANT CO-BORROWERS

Not permitted

POWERS OF ATTORNEY

- Not permitted for cash-out

PROPERTY ELIGIBILITY

INELIGIBLE

- Properties located in American Samoa, Guam, The Commonwealth of the Northern Mariana Islands and Puerto Rico

REFINANCE TRANSACTIONS

- Transactions in which one veteran substitutes entitlement for another veteran are ineligible
- Cash-Out Refinance
  - Maximum cash-in-hand 1-4 Unit – Follow AUS

PROCESSES AND PROCEDURES

4605-C

- If the 4506-C transcripts do not match the borrower's income and the borrower is a victim of taxpayer identification theft, the following conditions must be met in order to validate the borrower's income:
  - Proof of identification theft as evidenced by one of the following:
    - Proof ID theft was reported to and received by the IRS (IRS form 14039) OR
    - Copy of notification from the IRS alerting the taxpayer to possible identification theft
  - In addition to one of the documents above, all applicable documents below must be provided:
    - W2 or 1099 transcripts which match the W2 or 1099 income shown on the 1040s
    - 1099 mortgage interest must match the reported interest on Schedule A or Schedule E
    - 1099G unemployment must match the reported amount of unemployment
    - 1099 dividend and interest income must match the reported dividend and interest
    - Validation of prior tax year's income (income for current year must be in line with prior years)

APPRAISAL

PROPERTY ADDRESSES

The property addresses on the appraisal, mortgage, note, flood certification and in Loantrac must be identical. However, abbreviation of "Street," "Road," etc. is acceptable, even if "Street" or "Road" is fully spelled in another document. This is the only acceptable variance.

- Use the standardized USPS address unless the address in the legal description on the title commitment differs. If the legal address differs, use the legal address
- Appraisers are required to state the USPS address as the property address on the first line of the appraisal. If the legal address differs from the USPS address, the appraiser must reference the legal address in a comment on the appraisal or an addendum to the appraisal

PURCHASES AND CASH-OUT REFINANCES

- Appraisals are ordered through WebLGY in the Veteran's Information Portal. VA provides access to the portal to lenders who possess a current VA Agent ID and a VA PIN. For additional information, refer to memo #14050 – *Order VA Appraisals/Case Numbers* and memo #15067 – *VA LIN, Certificate of Eligibility, CAIVR and Appraisal Processes*
  - Lenders must notify Flagstar when the appraisal has been uploaded to WebLGY by VA. Email vaappraisal@flagstar.com
- For lenders who have not yet received an Agent ID from VA, Flagstar will order the case number and appraisal. Lenders must complete *VA Case Number/Appraiser Assignment*, Doc. #9701 and forward to fsgovlend@flagstar.com
  - If Flagstar orders the appraisal, we will upload the appraisal invoice to the paperless file, and Flagstar must be paid the appraisal fee

APPRAISAL DISPUTE PROCEDURES

- E-mail at least three additional comps to Flagstar at vaappraisal@flagstar.com
  - Provide valid comparables, including MLS data
  - The SAR will review the additional comps for similarity, proximity, closing date, etc.
  - Upon determination that the new comps are similar to the subject property, the SAR will submit them to the appraiser for consideration. Appraiser turn time is up to five business days
- On a limited basis, we will submit the appraisal and appraiser's rebuttal to VA for consideration of a higher or lower value. VA's turn time is ten to 15 business days
  - In the event Flagstar believes the appraised value is too high, the loan may be denied

CERTIFICATE OF ELIGIBILITY

A Certificate of Eligibility is required for all VA transactions. The following information is included on a Certificate of Eligibility:

- Veteran's full name – The veteran's name on the Certificate of Eligibility must match the veteran's name in WebLGY, Loantrac, the loan guaranty certificate and the note and mortgage
  - The following name discrepancies are the only acceptable variations:
    - James Everett Brown, James E. Brown, James Brown
    - William Smith Jr., William Smith, William R. Smith, William Ryan Smith, Jr., William Ryan Smith, William R. Smith, Jr.
  - The following name discrepancies must be resolved prior to the loan closing (this list is not all-inclusive and name discrepancies are reviewed on a case-by-case basis):

        - Name discrepancies due to marriage (C of E shows Mary Smith, but documentation in Loantrac, WebLGY and/or the note and mortgage shows Mary Jones) – A copy of the marriage license is sufficient documentation
        - Hyphenated name discrepancies (C of E shows Bill Smith, but documentation in Loantrac, WebLGY and/or the note and mortgage shows Bill Smith-Jones)
        - Middle name discrepancies (C of E shows Bill John Smith, but documentation in Loantrac, WebLGY and/or the note and mortgage shows Bill Robert Smith)
        - First name discrepancies (C of E shows Bill Smith, but documentation in Loantrac, WebLGY and/or the note and mortgage shows William Smith)
        - Last name prefix discrepancies (C of E shows Bill St. Pete, but documentation in Loantrac, WebLGY and/or the note and mortgage shows Bill Stpete)

<u>CLOSING REQUIREMENTS</u>

- Fees must be itemized on the Closing Disclosure per VA Circular 26-17-11.
- Interest credit allowed - Loan must close by the 7th calendar day of the month preceding the first payment date.
- All conditions must be collected and provided in the closing package
    - Down payment assistance funds are typically wired to the closing agent – Wire transfer documentation must be included in the file prior to funding or purchase
- Any changes to loan amount, funding fee, cash-to-close, interest rate, points, PITI, etc. must be reviewed by underwriter prior to closing and disbursing loan
- Principal reductions are required when the total of lender and/or seller credits reflected on the Closing Disclosure exceeds the total of the actual closing costs, pre-paid expenses and discount points
- Principal reductions are required when the borrower receives any cash back at a purchase transaction closing
    - Documented funds paid by the borrower outside of closing for items such as EMD or appraisal and credit report may be refunded to the borrower at closing – Document funds paid outside of closing with one of the following:
        - Cancelled checks
        - Bank statement showing transfer of funds – If the statement does not indicate the payee, a copy of the check is also required
        - Money order receipts and evidence of source of funds
- Principal reductions are required when the borrower is receiving more than $500 cash at closing on an interest rate reduction refinancing loan.

NOTARY POLICY

Refer to the Notary Policy stated in *Settlement/Closing Requirements,* Doc. #4601

<u>CONFLICT OF INTEREST</u>

Transactions in which the realtor and the originator are the same individual are eligible.

<u>CREDIT REPORTS</u>

All credit reports must be imported to Loantrac, including credit reports for IRRRL transactions.

AGE OF CREDIT REPORTS

- To achieve Flagstar's and VA's minimum credit requirements, a new credit report may be re-pulled after a borrower has repaired derogatory credit, and Flagstar will honor the new credit score. The new credit report must be imported to Loantrac
- The following credit report discrepancies require a new credit report:
  - Social Security number is incorrect
  - Last name is incorrect
  - Middle initial is incorrect
  - Misspelled first names and/or missing or incorrect suffixes (Jr./Sr.) require a new credit report unless the name variation appears in the AKA section of the credit report

DE CUSTOMERS ONLY

- Credit report must contain Office of Foreign Assets Control (OFAC) screening
- If credit report indicates a potential OFAC match, the credit report must be e-mailed to delegated.underwriting@flagstar.com for review by Flagstar Bank's Secrecy Act Compliance Department – The loan may not close without clearance from Flagstar's BSA Department (violation of this policy is a federal crime)

ELECTRONIC SIGNATURES

- Electronic signatures are permitted for all VA loan documents except the following:
  - Powers of attorney
  - Form SSA-89
  - Note and Mortgage – While VA accepts these, at this time, GNMA does not

ESCROWS

- Escrow waivers not allowed
- Generally, property tax escrows for all new construction properties must be calculated based on the fully assessed property value. Obtain actual tax amounts from the local tax assessor's office. If the new construction property taxes charged by the municipality will not be based on the fully improved property within 12 months of closing, escrows may be based on one of the following. Note: Regardless of assessment dates, ratios and reserves must be calculated based on the fully assessed property value.
  - Lot only or
  - A partial assessment or
  - Actual or estimated amount based on fully assessed value
  - The Closing Department will require the borrower(s) to confirm that once the property is fully assessed, they are aware of the potential escrow shortage
- For purchases of new and existing properties in California only, property taxes may be calculated using 1.25% of the purchase price or the actual tax rate

ESCROW HOLDBACKS

- Allowed only for exterior property repairs that cannot be completed due to inclement weather
- Fully executed *Escrow Holdback Agreement*, Doc. #3655 required in closing package

IMMIGRATION STATUS

- DACA c(33) is a work status that is under a deferred action and does not provide lawful status, therefore, Individuals that are working under DACA authorization are not eligible

INDUSTRY LINKS/FLAGSTAR LINKS AND CONTACTS

- *VA Lender's Handbook - VA Pamphlet 26-7*
- VA Circulars
- VA Construction and Valuation
- VA Loan Limits
- VA Lender's, Servicers and Real Estate Professionals Page
- VA-Approved Condos Search Engine
- VA-Registered Builders Search Engine
- VA Construction and Valuation – State Requirements
- WebLGY User Administration Guide
- DFAS My Pay – For Leave and Earnings Statements – Veteran's PIN required
- Active-Duty Verbal Verifications of Active Duty
  - Army or Air Force – 888-729-2769
  - Marines – 888-332-7411
  - Navy – 888-332-7411
  - Civilian Defense – 800-729-3277
- DFAS– US Military Pay – Defines Abbreviations and provides Pay Charts, etc.
- Federal Income Tax Tables
  - IRS Federal Tax Tables
- State Income Tax Tables
  - Bank Rate – State Tax Roundup
- Flagstar Bank Government Underwriting Help Desk
  - E-Mail: governmentuw@flagstar.com
  - Phone: 866-945-9872: Select option 1 for Underwriting and option 2 for Government Underwriting

INSURANCE

HAZARD INSURANCE

Hazard Insurance Requirements, Doc. #4602

FLOOD INSURANCE

- *Flood Insurance Requirements,* Doc. #4603
- *Eligible Flood Provider Companies- FEMA Flood Insurance Company List*
- Private flood insurance meeting the requirements of the Biggert-Waters Flood Insurance Reform Act of 2012, however, all improvements, including detached structures must be insured.

LOAN TERM

FIXED RATE MORTGAGES

10, 15, 20, 25 and 30-year fixed rate mortgages

ARMS

3/1 and 5/1 CMT adjustable-rate mortgages without temporary buydowns

MAXIMUM LOAN AMOUNTS

LOAN AMOUNT RESOURCES

- *2022 VA County Loan Limits for High Cost Counties*
- *VA Guaranty Calculation Examples*
- *VA Mortgage Calculation Worksheet – Purchase Loan Amounts ≤ $144,000*, Doc. #9740
- *VA Mortgage Calculation Worksheet – Purchase Loan Amounts > $144,000*, Doc. #9741
- *VA Mortgage Calculation Worksheet - Refinance Loan Amounts ≤ $144,000*, Doc. #9742
- *VA Mortgage Calculation Worksheet - Refinance Loan Amounts > $144,000*, Doc. #9743

NET TANGIBLE BENEFIT

A net tangible benefit form must be completed when required by the state and for any Cash-Out and Interest Rate Reduction Refinance (IRRRL).

POWERS OF ATTORNEY

All signatures on the power of attorney must be notarized, and the power of attorney must be reviewed by a Flagstar underwriter. All signatures must match the signatures in the file.

QUALIFIED MORTGAGES (QM)

With the exception of the VA IRRRLs described below, VA's Interim QM Rule classifies all VA loans as Safe Harbor Qualified Mortgages.

IRRRLS

IRRRLs meeting all of the following criteria are classified as Safe Harbor QMs:

- The note date of the refinance loan must be on or after the later of:
- The date that is 210 days after the due date of the first monthly payment on the mortgage being refinanced, and
- The date on which 6 consecutive full monthly payments have been made on the mortgage being refinanced
- The veteran has not been more than 30 days past due during the six months preceding the new loan's closing date and
- The number of months to recoup the allowable fees and charges associated with the loan does not exceed 36 months
    - All of the following costs are included in the recoup calculation:
        - Fees paid on behalf of the veteran through lender credits and premium pricing may be excluded from the calculation if they offset allowable fees listed in Chapter 8 of VA Pamphlet 26-7
        - The funding fee is excluded.

- Pre-paid expenses that would have been payable under the loan being refinanced are not included in the recoupment calculation. Examples of pre-paid expenses are property taxes, homeowner's insurance premiums and HOA dues
- If the payment increases due to a decreased loan term or conversion of an ARM to fixed rate mortgage, the Veteran cannot incur any fess, closing costs or expenses (other than taxes, amounts held in escrow, and fees paid under Chapter 37, e.g. VA Funding Fee)
- The number of months to recoup is calculated using *VA Net Tangible Benefit & Loan Disclosure,* Doc. #9723-A and Doc. #9723-B

IRRRLs not meeting the criteria above are not acceptable to VA.

For additional info, refer to *Interim Final Rule – Ability to Repay Standards and QM Definition*

REFINANCE TRANSACTIONS

Any modified loan (Conventional, FHA, VA, USDA, etc) being paid off through a new VA refinance must meet the GNMA seasoning requirement with the first payment due date after the modification.

- The note date of the refinance loan must be on, or after the later of:
  - The date on which the borrower has made at least six-monthly payments on the loan being refinances; and
  - The date that is 210 days after the first payment due date of the loan being refinanced

TITLE

Effective date of title commitment must be no older than 90 days as of initial underwrite and within 120 days of the note.

ENERGY LOAN TAX ASSESSMENT PROGRAM (ELTAP) LIENS

Not permitted

UNEXPIRED RIGHTS OF REDEMPTION – ALL STATES EXCEPT ALABAMA

- Unless the property is located in the State of Alabama, Flagstar will not approve and/or purchase any loan having an unexpired right of redemption unless the purchase agreement, title and appraisal all show the same seller who is the original mortgagor
  - Title may show *lis pendens* notices from the bank or mortgagee
- Purchase contract may indicate a short sale
- Unexpired Rights of Redemption – Alabama Only
  - Purchase agreement, title and appraisal will be in the name of the lender and not the original mortgagor.
  - Title commitment will show one or both of the following acceptable recorded deeds:
    - Foreclosure from John Doe (original mortgagor) to Anybank (foreclosing lender) followed by the date on the deed and the recording date
    - When the foreclosing lender deeds the property to HUD, Fannie Mae, Freddie Mac, VA or GNMA, there will be a special warranty deed from Anybank (foreclosing lender) to one of the GSEs listed above followed by the date on the deed and the recording date
  - If the above referenced deeds are dated within the most recent 12 months, the title commitment must contain a specific exception for the unexpired right of redemption and

affirmatively insure, without qualification, the mortgagee (Flagstar Bank) against all losses arising out of the exercise of any outstanding right of redemption

UNDERWRITING

VA PRIOR APPROVAL

The following loans require submission of the loan to VA for underwriting and approval prior to loan closing:

- Joint Loans (See *Joint Loan* section for definition and additional information, including joint loan eligibility/ineligibility)
- Loans to veterans who receive non-service-connected pensions
- Loans to veterans who have been rated incompetent by VA
- IRRRL loans made to refinance delinquent VA loans

VA REGIONAL LOAN CENTERS

NATIONAL CALL CENTER – 877-827-3702

- Select 1 if you know your party's extension
- Select 2 if you are calling regarding VA funding fee
- Select 3 if you are a veteran or a lender obtaining or processing a VA loan
- Select 4 if you are a homeowner having difficulty making your mortgage payment or are in foreclosure, or if you are a servicer.
- Select 5 if you have questions about the Specially Adapted Housing Grant through VA
- Select 6 if you have questions about an appraisal, building ID or condominium project approval
- Select 7 regarding Certificate of Eligibility. Note: Most Certificates of Eligibility can be obtained on-line by the Veteran through eBenefits or the lender through WebLGY
- Select 0 if you are calling concerning other benefits such as Education, Health Care or Disability Benefits

For options 2 and 3, calls will be answered on a nationwide basis by the next RLC representative. Calls for options 4 and 5 will be answered by the RLC with jurisdiction based on the caller's area code.

CLEVELAND REGIONAL LOAN CENTER

Connecticut, Delaware, Indiana, Maine, Massachusetts, Michigan, New Hampshire, New Jersey, New York, Ohio, Pennsylvania, Rhode Island, Vermont

HOUSTON REGIONAL LOAN CENTER

Arkansas, Louisiana, Oklahoma, Texas

ST. PAUL REGIONAL LOAN CENTER

Iowa, Illinois, Kansas, Minnesota, Missouri, Nebraska, North Dakota, South Dakota, Wisconsin

ATLANTA REGIONAL LOAN CENTER

Georgia, North Carolina, South Carolina, Tennessee

DENVER REGIONAL LOAN CENTER

Alaska, Colorado, Idaho, Montana, Oregon, Utah, Washington, Wyoming

PHOENIX REGIONAL LOAN CENTER

American Samoa, Arizona, California, Commonwealth of the Northern Mariana Islands, Guam, Hawaii, Nevada, New Mexico

ROANOKE REGIONAL LOAN CENTER

District of Columbia, Kentucky, Maryland, Virginia, West Virginia

ST PAUL

Illinois, Iowa, Kansas, Minnesota, Missouri, Nebraska, North Dakota, South Dakota, Wisconsin

ST. PETERSBURG REGIONAL LOAN CENTER

Alabama, Florida, Mississippi, Puerto Rico, U.S. Virgin Islands